2-6 Economic Systems

> Learning Objective 2-6
>
> Appreciate the differences among market economy, command economy, and mixed economy.

An **economic system** (Rules of the game on how a country is governed economically.) refers to the rules of the game on how a country is governed economically. At the two ends of a spectrum, we can find

(1) a market economy and

(2) a command economy. In between, there is a mixed economy.

A pure **market economy** (An economy that is characterized by the "invisible hand" of market forces) is characterized by the "invisible hand" of market forces first noted by Adam Smith in *The Wealth of Nations* in 1776. The government takes a hands-off approach known as *laissez faire.* Specifically, all factors of production should be privately owned. The government should only perform functions that the private sector cannot perform (such as providing roads and defense).

A pure **command economy** (An economy that is characterized by government ownership and control of factors of production.) is defined by a government taking, in the words of Lenin, the "commanding height" in the economy. All factors of production should be government-owned or state-owned, and all supply, demand, and pricing are planned by the government. During the heydays of communism, the former Soviet Union and China approached such an ideal.

A **mixed economy** (An economy that has elements of both a market economy and a command economy.) , by definition, has elements of both a market economy and a command economy. It boils down to the relative distribution of market forces versus command forces. In practice, no country has ever completely embraced Adam Smith's ideal *laissez faire.* Here is a quiz: Which economy has the highest degree of economic freedom (the lowest degree of government intervention in the economy)? Hint: Given extensive government intervention since 2008, it is obviously *not* the United States. A series of surveys report that it is Hong Kong. (The post-1997 handover to Chinese sovereignty does not make a difference.) The crucial point here is that even in Hong Kong, there is still some noticeable government intervention in the economy. During the aftermath of the 1997 economic crisis, when the share prices of all Hong Kong listed firms took a nosedive, the Hong Kong government took a highly controversial action. It used government funds to purchase 10% of the shares of all the "blue chip" firms listed under the Hang Seng Index. This action did slow down the sliding of share prices and stabilized the economy, but it turned all the "blue chip" firms into **state-owned enterprises (SOEs)** (A firm owned and controlled by the state (government).) —at least 10% owned by the state. At the height of the global financial crisis in 2008 and 2009, most governments in developed economies took similar action by bailing out their banks and turning them into SOEs.

Likewise, no country has ever practiced a complete command economy, despite the efforts of communist zealots throughout the Eastern bloc during the Cold War. Poland never nationalized its agriculture. Hungarians were known to have second (and private!) jobs while all of them theoretically only worked for the state. While the former Soviet Union and Central and Eastern European countries threw away communism, all ongoing practitioners of communism, such as China, Cuba, and Vietnam, have embraced market reforms. Even North Korea is now interested in attracting foreign investment.

The economic system of most countries is a mixed economy. When we say a country has a "market economy," it is really a shorthand version for a country that organizes its economy *mostly* (but not completely) by market forces and that still has certain elements of a command economy. China, Russia, Sweden, and the United States all claim to have a "market economy," but the meaning is different in each case. In short, "free markets" are not "free." It boils down to a matter of degree. Overall, it may be prudent to drop the "F" word ("free") from the term "free market economy." Instead, it makes sense to acknowledge that there is a variety of capitalism, with each version of "market economy" differing in some ways.